

In this case, there is no first peak to compare against. However, the note about weakness is clear. The stock peaked at almost 69 and was now trading at 63. I received a fill at 63.42 for a gain of (drum roll, please) 87% (including dividends) with a hold time of 15 months.

I sold near the bottom of a retrace. The stock climbed back up to 69.26 and then moved sideways until July 2015. It moved sideways after I sold for longer than I was in the trade!

What did I do wrong? Entry was perfect. The exit was late. The only thing I can think of to improve the exit was to use a trendline connecting F, H, and I on the log scale (this chart appears to be on the linear scale). I would have sold at the open the day after I, at 64.29, a slight improvement. But the trendline uses hindsight. A trendline would have taken me out any number of times on the way from F to H, because price curves to the right.

Sample Trade

“I work the night shift at a bakery a few streets away. I can walk to work, so it's handy. Before I go to sleep, I check my favorite stocks and found an interesting one shown in [Figure 12.6](#). Let me tell you about it.”

Each day before Curtis bedded down, he plotted the stock and watched with amusement as the first broadening wedge formed. When the second one appeared, he stopped yawning and moved closer to his computer screen. The second broadening wedge didn't excite him; rather, it was the wedge coupled with a potential double top. “Together, they looked especially bearish.”